
Troy School District

Report to the Board of Education

June 30, 2025

To the Board of Education
Troy School District

We have recently completed our audit of the basic financial statements of Troy School District (the "School District") as of and for the year ended June 30, 2025. In addition to our audit report, we are providing the following results of the audit, other recommendations and observations, and informational items that impact the School District:

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We are grateful for the opportunity to be of service to Troy School District. We would also like to extend our thanks to Mr. Dan Trudel, Mr. Aurel Malutan, and the entire business office for their assistance and preparedness during the audit. We recognize that preparing for the audit is carried out in addition to your staff's normal daily activities. Should you have any questions regarding the comments in this report, please do not hesitate to call.

Plante & Moran, PLLC

October 13, 2025

Results of the Audit

October 13, 2025

To the Board of Education
Troy School District

We have audited the financial statements of Troy School District (the "School District") as of and for the year ended June 30, 2025 and have issued our report thereon dated October 13, 2025. Professional standards require that we provide you with the following information related to our audit.

Our Responsibility Under U.S. Generally Accepted Auditing Standards

As stated in our engagement letter dated June 3, 2025, our responsibility, as described by professional standards, is to express an opinion about whether the financial statements prepared by management with your oversight are fairly presented, in all material respects, in conformity with U.S. generally accepted accounting principles. Our audit of the financial statements does not relieve you or management of your responsibilities. Our responsibility is to plan and perform the audit to obtain reasonable, but not absolute, assurance that the financial statements are free of material misstatement.

As part of our audit, we considered the internal control of the School District. Such considerations were solely for the purpose of determining our audit procedures and not to provide any assurance concerning such internal control.

We are responsible for communicating significant matters related to the audit that are, in our professional judgment, relevant to your responsibilities in overseeing the financial reporting process. However, we are not required to design procedures specifically to identify such matters.

Our audit of the School District's financial statements has also been conducted in accordance with *Government Auditing Standards*, issued by the Comptroller General of the United States. Under *Government Auditing Standards*, we are obligated to communicate certain matters that come to our attention related to our audit to those responsible for the governance of the School District, including compliance with certain provisions of laws, regulations, contracts, and grant agreements; certain instances of error or fraud; illegal acts applicable to government agencies; and significant deficiencies in internal control that we identify during our audit. Toward this end, we issued a separate letter dated October 13, 2025, regarding our consideration of the School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements.

Planned Scope and Timing of the Audit

We performed the audit according to the planned scope and timing previously communicated to you in our meeting about planning matters on June 18, 2025.

Significant Audit Findings

Qualitative Aspects of Accounting Practices

Management is responsible for the selection and use of appropriate accounting policies. In accordance with the terms of our engagement letter, we will advise management about the appropriateness of accounting policies and their application. The significant accounting policies used by the School District are described in Note 2 to the financial statements. For the fiscal year beginning on July 1, 2024, the School District adopted the provisions of Governmental Accounting Standards Board Statement No. 101, *Compensated Absences*. Our opinion is not modified with respect to this new accounting policy.

We noted no significant transactions that have been recognized in the financial statements in a different period than when the transaction occurred.

Accounting estimates are an integral part of the financial statements prepared by management and are based on management's knowledge and experience about past and current events and assumptions about future events. Certain accounting estimates are particularly sensitive because of their significance to the financial statements and because of the possibility that future events affecting them may differ significantly from those expected. The most sensitive estimates affecting the financial statements were the School District's share of the MPERS net liability for the pension and net asset for the other postemployment benefit (OPEB) plans recorded on the government-wide statements related to GASB Statement Nos. 68 and 75, respectively. The School District's estimates as of June 30, 2025 were \$211.6 million and \$36.6 million for the pension and OPEB plans, respectively, based on data received from the Office of Retirement Services. We evaluated the key factors and assumptions used to develop the accounting estimates in determining that they are reasonable in relation to the financial statements taken as a whole.

The disclosures in the financial statements are neutral, consistent, and clear.

Difficulties Encountered in Performing the Audit

We encountered no significant difficulties in performing and completing our audit.

Disagreements with Management

For the purpose of this letter, professional standards define a disagreement with management as a financial accounting, reporting, or auditing matter, whether or not resolved to our satisfaction, that could be significant to the financial statements or the auditor's report. We are pleased to report that no such disagreements arose during the course of our audit.

Corrected and Uncorrected Misstatements

Professional standards require us to accumulate all known and likely misstatements identified during the audit, other than those that are trivial, and communicate them to the appropriate level of management. We did not detect any misstatements as a result of audit procedures.

Significant Findings or Issues

We generally discuss a variety of matters, including the application of accounting principles and auditing standards, business conditions affecting the School District, and business plans and strategies that may affect the risks of material misstatement, with management each year prior to our retention as the School District's auditors. However, these discussions occurred in the normal course of our professional relationship, and our responses were not a condition of our retention.

Management Representations

We have requested certain representations from management that are included in the management representation letter dated October 13, 2025.

Management Consultations with Other Independent Accountants

In some cases, management may decide to consult with other accountants about auditing and accounting matters, similar to obtaining a second opinion on certain situations. If a consultation involves application of an accounting principle to the School District's financial statements or a determination of the type of auditor's opinion that may be expressed on those statements, our professional standards require the consulting accountant to check with us to determine that the consultant has all the relevant facts. To our knowledge, there were no such consultations with other accountants.

Other Information Included in Annual Reports

Our responsibility for other information included in annual reports does not extend beyond the financial statements, and we do not express an opinion or any form of assurance on the other information. However, we read the Annual Comprehensive Financial Report, and nothing came to our attention that caused us to believe that such information, or its manner of presentation, is materially misstated or materially inconsistent with the information or manner of its presentation appearing in the financial statements.

This information is intended solely for the use of the Board of Education and administration of the School District and is not intended to be and should not be used by anyone other than these specified parties.

Very truly yours,

Plante & Moran, PLLC

A handwritten signature in black ink that reads "Christopher Geck". The signature is written in a cursive, flowing style.

Chris Geck, CPA

Other Recommendations and Observations

Food Service Fund - Fund Balance

We noted that the fund balance of the Food Service Fund continues to exceed the U.S. Department of Agriculture's maximum allowance of three months' worth of operating expenditures. The School District should continue to monitor its spenddown plan, entered into with the Michigan Department of Education, for reducing the balance to an acceptable level.

Informational Items

Managing the Changing Landscape

As fiscal year 2025/2026 kicked off, school districts were immediately faced with uncertainty, as the State did not deliver on its self-imposed deadline to complete the school aid budget by July 1. This left districts in the dark regarding expected funding levels and open to making their best guess as to what the per pupil funding will be when adopting initial budgets for fiscal year 2025/2026. While the May 2025 Consensus Revenue Estimating Conference resulted in upward revisions to the short- and long-term revenue growth projections for both the General Fund and School Aid Fund, there was also a cautionary undertone related to the potential impacts of macroeconomic events, such as the impact of the evolving federal trade policies on the Michigan economy. The revenue projections were further cast into doubt once the federal One Big Beautiful Bill Act was signed on July 4, 2025. It is estimated that the act will significantly reduce the amount of revenue the State takes in due to the impact the bill will have on tax revenue. The bill also makes changes to Medicaid, which may negatively impact the State's budget.

There are also many changes occurring at the federal level. The U.S. Department of Education is undergoing major changes in 2025 following an executive order to dismantle it, with its responsibilities being reassigned to other federal agencies. In addition, billions of dollars in education funding were initially frozen by executive order, affecting several federal programs that school districts annually receive, primarily related to Title I. Congress has not yet approved the fiscal year 2026 budget for the U.S. Department of Education; however, the president's budget proposal eliminates funding for programs such as Title 1-C, Title III, Title II, and Title IV-A. School districts that are accustomed to receiving revenue under these specific federal programs now have increased uncertainty as to their ability to fund programs that have already been put into place.

For many school districts, this is a level of uncertainty that has not been experienced since the start of the COVID-19 pandemic.

We understand the unique challenges school districts face within the changing funding landscape. We continue to work closely with state and federal decision-makers to both understand the changes and provide insight into potential implications. As a strategic partner and advocate for public education, we continue to meet with decision-makers before actions are finalized so that these groups can be well informed of the implications their actions will have on the students, your business office, and your financial statements. Our work continues with federal and state agencies as new or revised accounting and compliance guidance is developed so we can help school districts be better equipped to manage the new rules and requirements. As guidance is updated and opportunities are identified, we will continue to provide updates to aid the School District in managing changes and navigating complexities. We understand that the last several years have required substantial extra effort by the Board of Education, administration, teachers, and support staff to bring the School District through one of the most extraordinary times in education. We also understand that the work is not done, and we appreciate the opportunity to work side by side with your team during this next chapter.

School Funding - School Aid in Depth

2024/2025 School Funding

As fiscal year 2024/2025 began, many school districts were entering their first year, since the start of the pandemic, with little or no COVID-19 grant dollars remaining. For many school districts, this resulted in the budgeted use of fund balance to balance the budget as school districts began to grapple with the reality of needing funding to support additional programming and staff resources that had been added during the ESSER funding era of the past several years. From a state budget perspective, at the May 2024 Consensus Revenue Estimating Conference, it was predicted that there would be sufficient resources for current programs but suggested that the revenue growth in the School Aid Fund would continue at a slower pace than the previous two years. As a practical matter, the conference conclusions suggest the funding growth will mirror more closely the pre-pandemic growth levels. As schools entered the 2024/2025 fiscal year, the School Aid Bill was completed and signed into law. The bill provided for some funding increases and resources to fund new initiatives agreed to by the governor and Legislature. It also reduced the allocation for some one-time categoricals. It increased resources provided for retirement, and it did not provide a foundation allowance increase. Instead, changes were made to how categoricals related to the MPSERS, with the intent of providing approximately \$400 per pupil for each district to spend on operations. Based on the mechanics of the School Aid Bill, not every district realized a full \$400 benefit. Some key highlights of the School Aid Bill include the following:

- **Foundation Allowance:** The target foundation allowance stayed at \$9,608 per pupil for public schools. Public school academies received a 3.9 percent increase in their target foundation, estimated at \$9,983. The increase was due to the fact that most academies do not participate in the MPSERS and are funded using a separate categorical. While there was no increase in the foundation allowance, net state funding per pupil increased; however, it was primarily through changes related to MPSERS categoricals, as subsequently explained.
- **Pupil Count:** Continued the traditional blended pupil count methodology, with 90 percent weighting for the October 2024 count and 10 percent weighting for the February 2024 count. For declining enrollment districts, a provision continues to use a two-year blended count to slow the impact of the decline on current year revenue. A district qualified if its 2024 final membership count was lower than the 2023 final membership count. In this case, a school district received additional state funding through Section 29.
- **MPSERS Cost for 2024/2025:** There were several key changes related to existing and new MPSERS cost support provided to school districts as follows:
 - **Section 147a(4)** - The MPSERS OPEB and pension funding has been the focus of School Aid Fund discussions for many budget cycles. For years, the OPEB and pension plans have been underfunded and have had a large net liability (referred to as the "UAAL"). However, the OPEB plan is now considered fully funded, meaning that the plan now has sufficient assets to cover accrued health benefits for current and former employees' past services. State funding has historically provided a contribution to districts to cover the OPEB UAAL costs, which was about \$669 million, statewide. The 2024/2025 School Aid Bill redirected about \$598 million of the savings back to school districts. This was funded through a categorical, 147a(4), and represented approximately 5.75 percent of the School District's 2024 MPSERS-related payroll. For fiscal year 2024/2025, the total amount of 147a(4) funding the School District received was \$5,055,278, which equates to approximately \$411 on a per pupil basis.
 - **Section 147c(2)** - For only the second time, similar to 2023, the budget appropriated \$250 million in additional, one-time payments to be made to the retirement system. Ultimately, there is no impact to fund balance of the School District. An allocation was made to the School District; however, the School District was then invoiced by the retirement system for the same amount that was received for this state aid categorical.

- **Section 147g** - This funding was new in 2024/2025 and was for reimbursing employees for their 3 percent employer contribution to the OPEB plan. School districts received this funding and were required to use it to reimburse employees; therefore, this funding did not provide additional resources to the School District for general operating purposes.
- **GSRP:** GSRP received an increase in funding and provided for more families to be eligible for free preschool. Now, families who are less than four times the federal poverty level will be eligible for free service.
- **At-Risk:** At-risk funding is now over \$1 billion. Revisions to the program include new flexibility provisions to reduce teacher-student ratio and support retention and recruitment efforts.
- Categoricals continuing without substantive change include, but are not limited to, the following: Transportation, Future Educator Fellowship, Student Teacher Stipend, and ISD Operations support.
- Many smaller categoricals were eliminated or had reduced funding. However, the most significant funding reduction was for mental health and school safety, Section 31aa, which was reduced from \$328 million to initially only \$26.5 million. Additionally, school districts had to opt in to receive this funding; it was not automatically distributed. During the year, a supplemental bill was enacted that increased funding by \$125 million. However, school districts had to be cautious in how this funding was utilized. Any payroll costs covered by this funding in 2024/2025 would need to be funded from general school district resources in future years.

2025/2026 School Funding

The 2026 budget cycle was highly unusual because of significant delays and political impasses. Michigan's Legislature - split between a Republican-led House and a Democratic-led Senate - missed its July 1 statutory budget deadline for the first time in years. Months of negotiations stretched past the July 1, 2025 start of the 2026 fiscal year for schools in Michigan and even past the start of the State's fiscal year, October 1, 2025, forcing lawmakers to pass an emergency one-week stopgap measure to avert a partial government shutdown. Political disagreements centered on spending priorities (notably road funding) contributed to the gridlock. Economic conditions also made this cycle unique. A May 2025 revenue conference had initially projected healthy growth, but officials grew cautious due to inflationary pressures and other macroeconomic uncertainties. Furthermore, federal influences complicated the picture. A new federal tax package (nicknamed the "One Big Beautiful Bill Act") was signed in July 2025 and was expected to shrink Michigan's 2026 revenue by roughly \$677 million if the State adopted the changes to the federal tax rules for Michigan tax filers. At the same time, potential federal budget cuts (such as proposals to scale back U.S. Department of Education programs and changes to Medicaid) added extra uncertainty for state budget planners. These factors combined to make fiscal year 2026's budget process one of the most delayed and challenging in recent memory.

Fiscal Year 2026 Budget - K-12 Education Impacts

Education and public safety remained top priorities alongside infrastructure - reflecting a bipartisan consensus to protect key services even as other areas saw belt-tightening. The school aid (education) budget is \$21.3 billion - about \$0.5 billion higher than last year - and includes record funding levels for K-12 schools. While schools will see record funding this year, it should also be noted that this budget continues to shift significant funding from the School Aid Fund (approximately \$1.3 billion in 2026) to colleges and universities, a trend that continues from previous budget cycles. Below is a summary of the key budget provisions affecting K-12 schools:

- **Per Pupil Foundation Allowance Increase:** The base funding for each student rises to \$10,050, up from \$9,608 - Approximately a 4.6 percent increase per pupil, reaching the highest level ever in Michigan.

- **MPSERS Cost Offset (147a(1)) - Eliminated:** This was essentially a supplemental payment to help schools pay for retirement expenses. In an unanticipated change, this \$100 million offset was removed from the budget, which equated to approximately \$75 per student, on average across the State, that school districts will no longer receive.
- **MPSERS Cost Offset - Reduced UAAL Cap (147a(4)):** As expected, this line item was completely removed as compared to the 2025 budget, which equated to \$598 million or approximately \$400 per student. This funding was removed given the fiscal year 2026 statutory reduction in the MPSERS UAAL required contribution from 20.96 percent to 15.21 percent of covered payroll.
- **Universal Free School Meals (30d):** The budget continues to provide free breakfast and lunch for all K-12 students, dedicating about \$200 million to fund the Michigan School Meals program for another year. This ensures every student has access to meals at school at no charge, regardless of family income.
- **Expanded Support for At-Risk and ELL Students:** Funding for at-risk students (Section 31a), which supports low-income and academically vulnerable children, was increased by 25 percent, adding roughly \$258 million to help districts improve outcomes for disadvantaged students. However, there is a new requirement that districts must provide a report to parents how the funding was used and allow parents to provide feedback. Likewise, English Language Learner grants (Section 41) received a 25 percent boost (to approximately \$62.7 million) to better support students for whom English is a second language.
- **Special Education (51e):** Funding saw a more modest uptick. Foundational special education grants grew by about 4 percent (an increase of roughly \$25 million statewide) to help serve students with disabilities.
- **New Class Size Reduction Initiative:** Lawmakers set aside \$65 million in one-time funds to help early elementary grades. This money is earmarked to reduce class sizes in kindergarten through third grade, particularly in high-poverty schools, by hiring more teachers or aides. The goal is to improve learning conditions for young students by ensuring smaller teacher-to-student ratios in critical early learning years.
- **Student Mental Health and Safety (31aa):** The budget maintains and increases support for student wellness. It provides over \$169 million for per pupil mental health and school safety grants - funding that schools can use for counselors, mental health programs, and security measures. This is a significant investment (an increase from roughly \$151.5 million allocated last year when including supplemental funds) and continues Michigan's postpandemic focus on mental health initiatives in schools. However, some of these dollars remain categorized as one-time funding, meaning the Legislature will need to revisit them in future budgets to ensure these services continue.
- **Infrastructure Grants:** Allocates \$100 million in one-time funding for districts to apply for competitive grants related to infrastructure needs.

Looking Forward to 2026 and Beyond

The State's budget for 2026 is approximately \$81 billion. The budget represents a shift in priorities. Lawmakers made a major investment in infrastructure, boosting road and bridge funding by approximately \$1.1 billion per year. To achieve this, the plan introduces a new 24 percent wholesale tax on marijuana, a \$420 million revenue source that became the linchpin of the roads deal. In addition, the Legislature agreed to reroute the 6 percent sales tax on gasoline into road funding by replacing it with a 20 cents per gallon fuel tax increase. These moves direct money away from other areas (like the School Aid Fund and local revenue sharing) toward Michigan's long-neglected transportation network, aligning with Governor Gretchen Whitmer's "fix the roads" campaign promise. To help fund these budget initiatives, the State has also decided to forego adopting many of the tax breaks introduced by the federal One Big Beautiful Bill Act of 2025. Opponents of this measure argue that this will drive business away from Michigan as companies look to invest in states that have adopted these tax savings measures. Eventually, the new tax measures and tax shifts are expected to generate over \$1.5 billion per year for infrastructure once fully implemented. The primary question for K-12 education is, "What further pressures will be placed on the School Aid Fund if these changes in revenue streams do not produce the future level of revenue that the State is anticipating?"

The May 2025 Consensus Revenue Estimating Conference provided a look into 2026 and 2027. Revenue estimates for the School Aid Fund were adjusted upward slightly from the previous January 2025 and May 2024 estimates. However, previous revenue estimates did not include any of the impacts that were introduced with the passing of the 2026 budget, and school districts will need to pay close attention to the January 2026 conference to see what impact these changes are projected to have on the School Aid Fund for future years.

School districts will also need to continue to monitor developments at the federal level, as efforts continue by the executive branch to dismantle the Department of Education. There is also continued scrutiny by the federal government regarding funding for certain programs that are provided by school districts, which has resulted in paused or delayed funding. The federal government is currently at an impasse with its budget and is currently in a shutdown, as it missed the October 1 deadline to pass a 2026 budget. What cuts will be made that impact education once a budget is finally passed? This adds a level of uncertainty for school districts for which it is difficult to plan.

Student enrollment also impacts the level of funding the School District receives. During the pandemic, most public schools across Michigan experienced a decline in enrollment. Statewide enrollment has historically been slightly under 1.5 million students. Prior to the pandemic, annual enrollment figures were declining annually by about 10,000 students per year. However, during the pandemic, statewide enrollment decreased in excess of 50,000 students. As part of the Consensus Revenue Estimating Conference process, total enrollment is tracked and estimated. A key consideration in the projections continues to be to what extent the 50,000 student reduction will recover. Current data suggests that some portion returned as the rate of decline slowed, but enrollment will not recover to prepandemic levels. While this data is important statewide, it is very important at the local district level. Since the foundation allowance is computed on a per pupil basis, a stable and predictable enrollment will have a substantial impact on the financial picture. As a practical example, on average, it takes about 10 students to fully fund a teacher position. As districts continue to operate in the postpandemic period, continued focus on recruiting and retaining students and families will be essential to improving student enrollment.

In turn, school districts will be required to adjust to changes in funding priorities and ultimately how resources will be used for local district operations. Some of those challenges include the following:

- The impact of a recession on school funding if it were to occur
- Continued uncertainty regarding the Department of Education and the impact on school districts if it is dismantled
- Federal trade policy and global, geopolitical conflicts

- Continued efforts at attracting and retaining students to the School District
- Pupil count trends and projections for school districts and school buildings to better plan staffing, infrastructure, and operational needs
- Assessing food service operations as entering the third year of the new state-funded free breakfast and lunch program
- Potential staffing cost increases, including fringe benefits such as health care
- Operating cost increases resulting from inflation
- Technology cost increases and access to technology learning tools
- Cost trends for the retirement system and the extent to which state support is used from the School Aid Fund

The next Consensus Revenue Estimating Conference will occur in January 2026. As districts move into the 2025/2026 school year, they will need to carefully plan for how best to use current resources as well as begin to plan for potential adjustments going forward.

Michigan School Meals

Since the launch of Michigan's state-funded free breakfast and lunch initiative in the 2023/2024 school year, the program has aimed to provide all students, regardless of income, with nutritious meals at no cost. Originating from amendments to the State Aid Act in 2023/2024, the initiative was designed to supplement the federal National School Lunch and National School Breakfast programs, delivering meals to students who would otherwise be ineligible for federally funded free meals. For the 2023/2024 and 2024/2025 school years, participating districts received state funding through Section 30d, which was allocated to the Food Service Fund. This support replaced previous revenue from student-paid meals, allowing districts to offer universal access to breakfast and lunch.

For 2024/2025, the School District received \$3,719,300 in state funding under Section 30d for this program. Some key observations include the following:

- Participation is not automatic. Districts apply using the Coordinated Application in the State's NexSys system.
- For a district to be eligible to participate, it had to do the following:
 - Be a public school, charter school, or intermediate school district
 - Participate in the National School Lunch Program
 - Serve breakfast and lunch
 - Serve all meals at no cost to pre-K through 12th grade students
 - Adopt Community Eligibility Provision (CEP) to maximize federal reimbursement. Note that not all schools qualify for this provision under the federal program. If a district qualifies, the meals will be funded using that federal program, and the state program is not needed.
 - Collect relevant family income information
 - Write off all outstanding student negative balances

- The program works alongside and supplements the current federal National School Lunch and National School Breakfast programs and does not replace them.
- Districts will need to track and claim meals served similar to what is done for the federal programs.
- As noted above, districts must eliminate negative student account balances. In doing so, the Food Service Fund is not allowed to absorb the write-off. That removal requires funding from sources outside the Food Service Fund. The MDE provides guidance for how this should be accomplished.
- Many school districts are experiencing an increase in fund balance in the Food Service Fund beyond the state limitations for this fund. School districts will need to monitor and ensure that there is a spenddown plan that strategizes utilizing the fund balance for allowable costs.

With this approach to access to school meals, the potential for continued high participation rates is likely. Many districts saw increased demand on food service operations, including staffing levels, timing of meals, cafeteria seating, menu planning, and food orders through 2024/2025. Although there have been efforts to make the school meals program a permanent part of state law, its authorization and funding are still determined annually through the State's School Aid Fund budget.

Funding for this program was continued in the 2026 state budget; however, additional provisions were added that allow the MDE to withhold 5 percent of the School District's state aid payments if the following provisions are not adhered to:

- Adherence to federal school meal rules
- Mandatory completion of the federal free and reduced-price meal application by all students

Prevailing Wage Requirements

When utilizing federal funding for projects that fall under the definition of construction in the Davis Bacon provisions, there are specific guidelines that may apply, such as the prevailing wage requirement. Prevailing wage requirements will apply when a school district utilizes federal funding for remodeling, renovation, repair, or construction contracts over \$2,000. The School District must ensure the contract terms include the requirement to comply with prevailing wages, as well as ensure that certified payrolls were completed and subsequently reviewed by the School District.

Michigan Public School Employees' Retirement System (MPERS) - Update on the Plans' Net Pension Liability and OPEB Asset

Similar to the State of Michigan, the MPERS plan has a September 30 year end. With the adoption of GASB Statement Nos. 68 and 75 several years ago, school districts have been reporting their share of the MPERS plan funded status in the government-wide financial statements.

At September 30, 2024, the pension portion of the MPERS plan for the State of Michigan had a net pension liability of approximately \$24.5 billion. This is a decrease of approximately 24 percent from the reported amount of \$32.4 billion on September 30, 2023. One of the primary reasons for the decrease in the net liability was the net investment returns. The pension plan's annual investment rate of return was 15.5 percent for the year ended September 30, 2024, compared to 8.3 percent for the year ended September 30, 2023.

At September 30, 2024, the retiree health care portion (OPEB) of the MPSERS plan had a net OPEB asset of approximately \$4.3 billion compared to the net OPEB asset of \$566 million at September 30, 2023. This is an increase of approximately 660 percent. One of the reasons for the increase in the net asset was the net investment returns as well as favorable differences between expected and actual experience. The pension plan's annual investment rate of return was 15.5 percent for the year ended September 30, 2024, compared to 8.3 percent for the year ended September 30, 2023.

Fund Balance

Fund balance, particularly in the General Fund, is critically important to ensuring the financial health and stability of the School District. Having adequate fund balance allows the School District to navigate through and respond to unexpected losses or revenue shortfalls, such as emergency repairs or decline in funding. It ensures the School District can continue its operations smoothly without disruptions, even in times of financial uncertainty. A healthy fund balance can also improve the School District's credit rating, making it easier and less expensive to borrow money when needed. Overall, having a healthy fund balance allows for better long-term financial planning and budget flexibility to ensure the School District's resources are being utilized in the most effective manner possible. Given the changing landscape in state and federal funding over the past few years, fund balance will continue to garner more attention among board members and key stakeholders.

During the 2024/2025 school year, the School District's General Fund expenditures exceeded revenue by approximately \$3.1 million. This resulted in reducing the General Fund fund balance to approximately \$33.7 million at June 30, 2025. Fund balance goals are often stated in terms of a percentage of total expenditures. As a point of reference, the statewide average for school districts at June 30, 2024 was approximately 24.7 percent of operating expenditures (excluding transfers). Fund balance at the statewide average would approximately equal the School District's average operating costs for an 13-week period. The School District's fund balance percentage is 17.4 percent and equals approximately 9 weeks of operation.

Upcoming Accounting Pronouncements

There are several upcoming accounting pronouncements that will have an impact on future financial statements of the School District.

GASB Statement No. 103 - Financial Reporting Model Improvements

The objective of this standard is to make improvements to the financial reporting model, including GASB Statement No. 34, *Basic Financial Statements and Management's Discussion and Analysis - for State and Local Governments*, and other reporting model-related pronouncements. A key change to this standard from the exposure draft is the removal related to the recognition in and the presentation of governmental funds. The standard's scope includes management's discussion and analysis (MD&A); proprietary fund financial statement presentation, particularly the operating/nonoperating classification; budgetary comparisons; major component unit information; and the presentation of unusual or infrequent items. This statement requires that the MD&A be limited to the five topics noted in the standard and provides further guidance on how the MD&A should be written. For proprietary fund financial reporting, the statement defines operating and nonoperating revenue and expense. It also requires a new subtotal for operating income (loss) and noncapital subsidies. The statement prescribes that the budgetary comparison be reported only in the required supplementary information section of the statements and dictates what variance information to be included. Next, the statement requires that major component unit information be presented separately in the statements of net position and activities, with a caveat for readability. Lastly, the statement describes unusual and infrequent transactions and outlines how they should be presented separately. This new standard will be effective for the School District's June 30, 2026 year end.

GASB Statement No. 104 - Disclosure of Certain Capital Assets

This standard is designed to provide users of governmental financial statements with essential information about certain types of capital assets. Although authoritative guidance prior to this standard requires governments to disclose detailed information about capital assets in notes to the financial statements, previously, there was inconsistency in practice for disclosure and presentation for certain capital asset classes. This new standard clarifies and expands disclosure requirements to improve consistency and comparability between governments. GASB Statement No. 104 will require certain classes of capital assets, including lease assets, intangible right-of-use assets, and subscription-based IT assets, to be disclosed separately in the capital assets note. In addition, the standard will require additional disclosures for capital assets that are held for sale; the new standard will impact the presentation of almost every governmental financial statement for entities that have capital assets that are in the process of being sold at fiscal year end, assuming certain conditions are met. This new standard will be effective for the School District's June 30, 2026 year end.

Sinking Fund Legislation

The new legislation, which is effective August 6, 2023, amends previous sinking fund legislation to allow a school district to use its Sinking Fund to support certain transportation costs. Specifically, a sinking fund millage approved by voters after May 7, 2023 is now allowed to be used by school districts for the acquisition of student transportation vehicles and parts, supplies, and equipment used for the maintenance of student transportation vehicles. Funds may also be used for the acquisition of trucks and vans registered under the Michigan vehicle code, 1949 PA 300, MCL 257.1 to 257.923, and used to carry parts, equipment, and personnel for or in the maintenance of school buildings or for the acquisition of parts, supplies, and equipment used to maintain those trucks and vans.

Sinking funds authorized (1) prior to March 29, 2017; (2) between March 29, 2017 and May 7, 2023; and (3) after May 7, 2023 should be accounted for separately in the audited financial statements. Each separate fund should have its own balance sheet and statement of revenue, expenditures, and changes in fund balance for the fiscal year. The previous sinking fund language regarding the use of funds for purchase of real estate, buildings, building improvements, and technology was not amended, as those are still allowable uses of sinking funds approved prior to this amendment. A school district that levies a Sinking Fund must have an independent audit of its Sinking Fund conducted annually, including a review of the uses of the Sinking Fund.

Bond Investment Earnings - Arbitrage Considerations

Arbitrage is not a new topic; however, in the current environment of raising interest rates, it is a topic that has recently received more attention. So, what is arbitrage? To summarize, arbitrage is the difference between the interest expense paid by the bond debt issuer (school district) and the earnings on the invested bond proceeds. School districts are tax-exempt organizations and, therefore, subject to federal arbitrage compliance rules. As a result, the School District may be limited to the amount of investment earnings that it is allowed to retain. The arbitrage calculations are quite complex, and, generally, the School District needs to work with its bond advisor to ensure this computation is completed on a recurring basis. Generally, at the five-year anniversary of the original bond sale, a computation is also completed and used to report to the federal government any investment earnings in excess of what is allowed to be retained and is generally due back to the federal government (Internal Revenue Service). The annual arbitrage calculations are also utilized to determine if the School District should report an arbitrage liability at June 30 in the full accrual set of financial statements. No amounts are recognized in the capital projects funds until the year of the final calculation. At June 30, the School District has unspent bond proceeds that are accruing investment earnings. The School District completed its analysis, and it was determined that there is an arbitrage liability in the amount of \$6,989,263, and the School District has reported this as a liability in the government-wide statement of net position at June 30, 2025.

OMB Revisions to the Uniform Guidance

In April 2024, the Office of Management and Budget (OMB) released revisions to the Uniform Guidance (UG) for federal grants and agreements. The guidance clarifies the applicability of requirements and terminology and includes some relaxation and clarification of certain requirements that required prior approval from federal regulators. Changes to certain award-level administrative requirements are effective for grants received on or after October 1, 2024. In addition to award-level changes, one key change to audit-level requirements relates to the increase of the single audit threshold from \$750,000 to \$1 million. The Type A threshold for federal programs also increases from \$750,000 to \$1 million. This audit-level change is effective for fiscal year ends starting on or after October 1, 2024 and, therefore, would be applicable for the School District's fiscal year ending June 30, 2026. In addition, beginning on July 1, 2025 and moving forward, there are new UG requirements that will impact federal grants. As such, beginning with the 2025-2026 school year, school districts will need to update their policies and procedures to conform to those new requirements.

Capitalization Thresholds Under Uniform Grants Guidance

The award-level April 2024 Uniform Grants Guidance Revision that is described above, among a variety of other changes, resulted in the equipment capitalization threshold increasing from \$5,000 to \$10,000. This threshold applies to the value of equipment that at the end of the grant period may be retained, sold, or otherwise disposed of with no further responsibility to the federal agency. In addition to considering this UG threshold related to federal grants compliance, it may be a good time for the School District to reevaluate the capitalization thresholds, understanding that there are various factors to consider. Ultimately, a school district will be required to track equipment purchases below \$10,000 for grant compliance purposes if the School District's policy is set below this new federal floor.

Understanding and Managing Potential Cyber Threats

Education continues to be one of the top targets for ransomware attacks. Legislation referred to as the K-12 Cybersecurity Act of 2021 was signed into law in October 2021 in recognition of the significant risk to school districts. This legislation has led to actionable guidance for K-12 organizations to act upon in order to strengthen their cybersecurity posture. Many K-12 organizations struggle to find adequate resources in the form of human capital or budget to adequately protect their information systems and critical data or, even worse, understand the risks associated with their use. Below are a couple key considerations:

- Do you know where all of the various data resides in the school district? PII, FERPA, HIPAA, and credit card (PCI) data all have very specific security and annual attestation requirements.
- Is your organization ready for the inevitable cyberattack? Ensuring all stakeholders, not just IT, know their role in cyber incident response is imperative to an effective response.
- Are you taking advantage of grant and other funding opportunities? K-12s should ensure they are taking full advantage of available resources.

Having an external party perform an assessment on vulnerabilities may provide additional support to the IT team for initiatives it is implementing and provides peace of mind for the board that vulnerabilities have been assessed and addressed. If you are interested in discussing this further, we would be happy to continue the conversation and be a trusted advisor in your cyber journey.

ERP (Financial and HR Systems)

School districts rely heavily on their enterprise resource planning (ERP) system, which typically includes finance, payroll, human resources, and ancillary applications like applicant tracking and time and attendance. There have been several changes in the K-12 ERP marketplace, including the sale of SchoolFinance to Linq and Skyward's marketing of its newer financial system (Qmlative) in K-12 in Michigan.

In addition to these changes, many school districts either have moved or are moving to a hosted solution rather than maintaining the system in the districts' data centers. These systems can be hosted by either the vendor (e.g., Tyler Technologies or PowerSchool), a third party that the vendor contracts (e.g., Skyward), or an ISD.

Our ERP advisory services are designed to help school districts modernize and unify their core administrative systems - finance, human resources, and student - into a cohesive, cloud-ready platform. We bring deep experience in school district operations and technology to guide you through every phase of ERP modernization, from strategic planning and system selection to implementation and change management. We have assisted numerous districts in maximizing the impact of their ERP and would be happy to brainstorm solutions with you.

Operations Review and Controls Assessment

Roles and responsibilities have changed for many administrative and operations staff over the past few years due to increased reporting requirements, the pandemic, and reductions in staff count. Staff sizes have been reduced in many districts, while demands for services, technology, and reporting requirements have increased. An operations review can be very helpful to the School District in identifying ways to optimize the resources it has. The School District may benefit from reviewing and redesigning processes to ensure that only value-added steps are included in the process. Process redesign involves mapping current processes (e.g., facilities work orders, purchasing, and payroll) and identifying potential improvements by leveraging technology systems and/or eliminating steps.

When making changes to operations and processes, it is important for the proper controls to be implemented or remain in place. We have performed numerous reviews for school districts regarding the staffing, functions, responsibilities, controls, and communication within the business office, human resources, and facilities and operations to provide suggestions for increased efficiency, operational effectiveness, and/or improved reporting and analysis capabilities. We would be happy to discuss our capabilities in this area and the value we can bring to the process.

IT Assessment and Planning

Much of teaching and learning today is predicated on reliable, robust, and secure technology, as well as an effective IT support function. The pandemic was very disruptive, including from a technology perspective. In the span of a few months, the use of technology in teaching and learning shifted dramatically, with greater mobility, learning on demand, and an increase in 1-to-1 initiatives. Cybersecurity threats increased at the same time support requirements expanded. Even though staff and students have returned to normal operations, the School District's IT support requirements have changed.

This may be a good time to consider an IT assessment that reviews information technology from people, process, and technical perspectives. Areas of focus include governance, IT staff and organization, use of external service providers, service delivery, network and device management and monitoring, cybersecurity policies and procedures, and the technology itself. An IT assessment provides an objective evaluation of current operations, with an actionable plan for improvements and enhancements. Many districts use the results of an IT assessment as their action plan for the next two to three years. We would be happy to discuss how we can help.

Artificial Intelligence (AI)

AI is rapidly transforming the education landscape, bringing both opportunities and significant challenges. Districts are grappling with how to maintain academic integrity in an era where generative AI tools can produce essays, solve problems, and mimic human writing. Traditional assessment models are under pressure, and educators are being pushed to rethink how learning is measured and validated.

Beyond the classroom, districts face hurdles in preparing teachers and staff to effectively integrate AI into teaching, learning, and operations. Many lack the training or strategic frameworks needed to adopt AI responsibly. At the same time, the influx of AI tools raises serious concerns about data governance, privacy, and compliance with regulations. Without robust systems in place, institutions risk exposing sensitive student and operational data.

Key questions higher education leaders should consider are as follows:

1. Are we strategically aligned to leverage AI in ways that support our mission and values?
2. Do we have the right data governance and ethical frameworks in place?
3. Are our teachers, staff, and students equipped to use AI responsibly and effectively?
4. How will AI impact our operational model?

Plante & Moran, PLLC (Plante Moran) is uniquely positioned to help school districts navigate these challenges. Through our AI service offerings, our firm provides strategic guidance and hands-on support tailored to the sector. School districts can begin with Plante Moran's AI Readiness Workshops and Innovation Labs, which help assess current capabilities and chart a path forward. These sessions are designed to align AI adoption with district goals while identifying risks and opportunities. For those looking to implement AI across departments, Plante Moran offers technology strategy and execution services. These include organization-wide assessments, transformation planning, and support for emerging technologies. Our firm also brings deep expertise in data governance and analytics, helping institutions build secure, compliant frameworks for managing and leveraging data.

Taking Advantage of Data Analytics within K-12 School Districts

The School District collects more data than ever before, but has it helped you take meaningful action? The complexity of drawing actionable insight from larger disparate data sources often stands in the way of making better data-driven decisions. The landscape of opportunity within advanced analytics can create order from the chaos and transform your data into actions that make a difference. Understanding the right approach is based on an assessment of the goals of the School District. Based on our experience, we suggest school districts begin considering a few initial questions:

1. How can we better understand the needs of our student population?

It has become increasingly important to develop a deeper understanding of individual student, school, and district-wide performance. Actionable insight into your student population to create data-driven strategies is achievable through advanced analytics.

2. Where might we be overspending?

When faced with tighter budgets in an evolving and fiercely competitive funding environment, schools are relying more heavily on their data than their instinct to detect leakages and eliminate inefficiencies in their operations. Leveraging advanced analytics can optimize your in-district delivery model and identify opportunities to reduce operational costs.

3. How can we develop a data-driven strategy?

A staggering volume of education data is underutilized by school districts. Asking meaningful questions about the alignment of your data vision, people, processes, technology, and data governance is the first step toward preparing a data-driven strategy.